Elan Living

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Elan West BTR
Senior Facility Offer

Information memorandum for a A$74.0M senior secured stabilised investment facility

Prepared for prospective senior lenders

Prepared by Elan Living Group Pty Ltd (trading as Elan Living)

Version 1.0, 4 August 2025

Confidential

Reference: ELG-IM-2025-08-EW01

Date: 4 August 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
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Important notice

This information memorandum has been prepared by Elan Living Group Pty Ltd (trading as Elan Living) on behalf of Elan West BTR Pty Ltd (the Borrower). It is provided to selected lenders to assist them in deciding whether to submit an indicative proposal for the facility described below. It is confidential and must not be copied or passed to any other person without the written consent of the sponsor.

The memorandum is not an offer capable of acceptance and does not constitute a recommendation. Financial figures are drawn from management information and are unaudited unless stated. Third party reports referred to in this document, including the valuation, the quantity surveyor's report and the audited financial statements, have not yet been delivered and are expected on the dates set out in Section 12. Lenders must make their own assessment and rely on their own advisers and on those reports once available. Pricing and terms are indicative only and subject to credit approval.

Borrower	Elan West BTR Pty Ltd
ABN	46 975 038 650
Registered address	Level 9, 33 Marsden Street, Parramatta NSW 2150
Sponsor	Elan Living Group Pty Ltd (trading as Elan Living)
Property	Elan West, 41 Darcy Road, Westmead NSW 2145
Facility requested	A$74.0M senior secured term facility, interest only, 36 months
Date	4 August 2025
Version	1.0
Prepared by	Elan Living Group Pty Ltd
Financial adviser	Lindqvist Capital Advisory Pty Ltd

Key details

1. Executive summary

Elan West BTR Pty Ltd is a single-purpose vehicle that owns and operates Elan West, a completed 188 apartment build-to-rent building at 41 Darcy Road, Westmead, in the Parramatta local government area. The building reached practical completion in August 2023, completed lease-up in June 2024 and has traded above 95% occupancy since the September 2024 quarter.

The Borrower seeks a A$74.0M senior secured stabilised investment facility with a 36 month tenor to refinance the existing bank construction-to-term facility of A$72.4M and to fund A$1.6M of establishment fees, transaction costs and hedging set-up. Security comprises a first registered mortgage over the property, a general security agreement (GSA) over the Borrower and a sponsor completion and income support deed.

- Asset: 188 apartments, 11,812 sqm of net lettable residential area (NLA), approximately 15,400 sqm of gross floor area (GFA), ground floor retail and basement parking.
- Occupancy and rent: 95.3% occupancy and average rent of A$887 per week.
- Income: revenue of A$8.7M, operating expenses of A$2.35M and EBITDA of A$6.35M.
- Value: as-stabilised value of A$117.5M at a 5.40% capitalisation rate, against total development cost (TDC) of A$101.5M.
- Credit metrics: loan to value ratio (LVR) of 63.0%, interest cover ratio (ICR) of 1.33x, debt yield of 8.6% and net debt to EBITDA of 11.3x.

The Borrower is seeking a lender or club of lenders able to commit the full A$74.0M. The sponsor would consider a staged drawdown if required by a lender's own process, in which case a line fee applies to undrawn amounts.

2. Transaction overview

2.1 Purpose and structure

The existing construction-to-term facility of A$72.4M was put in place to fund the development of Elan West. The asset is now complete and stabilised, and the sponsor wishes to replace construction-phase debt with a term investment facility that matches the long-term income profile of the asset. The facility is interest only for its full 36 month term, with repayment at maturity from refinance or sale.

2.2 Sources and uses

Item	A$M	% of total
Sources		
Senior stabilised investment facility	74.0	100.0%
Uses		
Repay existing construction-to-term facility	72.4	97.8%
Establishment fee (1.00%)	0.74	1.0%
Transaction costs and hedging set-up	0.86	1.2%
Total uses	**74.0**	**100.0%**

Sources and uses at financial close

Fees and costs of A$1.6M comprise the establishment fee of A$0.74M and A$0.86M of legal, valuation, quantity surveyor, advisory and hedging set-up costs. The Borrower holds cash of A$2.1M, so pro forma net debt is A$71.9M.

2.3 Indicative terms

Term	Indicative position
Facility type	Senior secured term, interest only
Limit	A$74.0M
Tenor	36 months
Margin	3 month BBSW plus 2.85% per annum
All-in rate	About 6.45% per annum at 3 month BBSW of 3.60%
Establishment fee	1.00%
Line fee	0.85% per annum on undrawn amounts if staged
Hedging	Minimum 75% of drawn debt for the term
Security	First mortgage, GSA, sponsor support deed

Indicative pricing and terms, subject to credit approval

At the indicative all-in rate, annual interest on A$74.0M is approximately A$4.77M. The minimum hedged amount is A$55.5M, being 75% of the limit.

3. Sponsor and management

3.1 Elan Living

Elan Living Group Pty Ltd, trading as Elan Living, is the sponsor and developer of the asset. It controls the Borrower and, through its subsidiary Elan Living Operations Pty Ltd, operates the building under a management agreement with the Borrower. Elan Living is headquartered at Level 9, 33 Marsden Street, Parramatta.

3.2 Directors of the Borrower

- Priya Delacroix, Executive Director and Chief Executive Officer, Elan Living.
- Thomas Gallagher, Executive Director and Chief Financial Officer, Elan Living.
- Helen Kwong, Non-executive Director (independent).

The independent director provides oversight of related party arrangements, including the management agreement with Elan Living Operations Pty Ltd. The sponsor proposes that any amendment to that agreement, and any change of operator, require lender consent.

3.3 Advisers

Role	Firm
Financial adviser	Lindqvist Capital Advisory Pty Ltd
Borrower legal counsel	Marlow & Finch Lawyers
Valuer	Halvorsen Pryce Valuers Pty Ltd
Quantity surveyor	Brannigan Tait Quantity Surveyors Pty Ltd
Auditor	Corwen Ashby Assurance
Property manager	Elan Living Operations Pty Ltd

Transaction advisers and service providers

4. The Borrower and project history

Elan West BTR Pty Ltd (ABN 46 975 038 650) is a special purpose vehicle that holds only the Elan West property and associated operating contracts. It has no other business activities and, under the proposed terms, would give no financial indebtedness outside the facility other than customary trade creditors and hedging.

Date	Milestone
15 Nov 2019	Settlement of the Darcy Road site for A$38.5M
10 Dec 2020	Development consent granted by the Sydney Central City Planning Panel for 188 apartments with ground floor retail
6 Apr 2021	Construction commenced under a lump sum design and construct contract
21 Aug 2023	Practical completion and occupation certificate; first residents moved in September 2023
28 Jun 2024	Lease-up completed with occupancy above 90%; above 95% from the September 2024 quarter

Project history

Total development cost was A$101.5M, of which the land represented A$38.5M and construction, professional, finance and other costs represented A$63.0M. The brief history above shows a build programme of about 28 months from construction start to practical completion and a further 10 months to complete lease-up.

5. The asset

5.1 Description

Elan West comprises 188 apartments with approximately 15,400 sqm of GFA and 11,812 sqm of residential NLA. The building includes resident amenity space, ground floor retail and basement parking. The asset is held for long-term income and is not intended for strata sale.

Apartment type	Number	% of mix
Studio	24	12.8%
One bedroom	78	41.5%
Two bedroom	72	38.3%
Three bedroom	14	7.4%
Total	**188**	**100.0%**

Apartment mix

The mix is weighted to one and two bedroom apartments, which together account for about 80% of the building. This suits the single professional and couple tenants typical of the Westmead precinct.

5.2 Location

The property is within the Westmead health and education precinct, close to Westmead Hospital, the University of Sydney Westmead campus and the Parramatta Light Rail. The precinct is a major employment node in Western Sydney. The Borrower's leasing experience since September 2023 indicates that demand is led by hospital, research and university staff and students, with some demand from retail and commercial workers in Parramatta.

5.3 Operations

Elan Living Operations Pty Ltd manages leasing, resident services, maintenance and building operations under a management agreement with the sponsor. It markets apartments on an institutional lease model with fixed-term leases and a single landlord, and manages resident retention through amenity programming and on-site service.

6. Market context

Build-to-rent is an established but still maturing asset class in Sydney, supported by investor interest in long-term residential income. Elan West trades in a location where employment-linked demand is strong and rental housing options near the precinct are limited relative to the size of the workforce.

The sponsor expects additional build-to-rent supply to enter the Parramatta and Westmead market over 2025 to 2027. This may increase competition for tenants and put pressure on rent growth and incentives. The Borrower has not assumed rental growth in the facility case. The independent market assessment in the valuation, expected from Halvorsen Pryce Valuers Pty Ltd on 22 August 2025, will provide lenders with a third party view of supply, rents and yields.

7. Financial performance

7.1 Trading summary

The figures below are annualised management information for the stabilised building, based on the 12 months to 30 June 2025 and unaudited. At 95.3% occupancy and an average rent of A$887 per week, residential rent is approximately A$8.26M. The balance of revenue of about A$0.44M arises from retail, parking and other income.

Item	A$M
Revenue	8.70
Operating expenses	2.35
EBITDA	6.35
Operating expense ratio	27.0%
EBITDA margin	73.0%

Stabilised trading summary (unaudited)

Audited financial statements prepared with Corwen Ashby Assurance are expected on 12 September 2025, and management accounts to 30 September 2025 are expected on 30 September 2025. The sponsor will provide both to lenders as they become available, and will explain any variation to the figures in this memorandum.

7.2 Credit metrics

Metric	Value	Basis
Facility limit	A$74.0M	Full drawdown
As-stabilised value	A$117.5M	5.40% cap rate
LVR	63.0%	74.0 / 117.5
Net debt	A$71.9M	After A$2.1M cash
Net debt to EBITDA	11.3x	71.9 / 6.35
ICR	1.33x	6.35 / 4.77 interest
Debt yield	8.6%	6.35 / 74.0
Yield on TDC	6.3%	6.35 / 101.5

Key credit metrics at financial close

The facility is sized on LVR and ICR. Net debt to EBITDA of 11.3x is high on a corporate measure but is typical for stabilised residential investment assets valued on a capitalisation rate, where debt is assessed against property value and cash flow cover instead. The debt yield of 8.6% is above the 5.40% valuation yield.

7.3 Interest rate sensitivity

At least 75% of drawn debt will be hedged for the term. If the remaining 25%, or A$18.5M, were exposed to a 100 basis point rise in 3 month BBSW, annual interest would increase by about A$0.19M to A$4.96M and ICR would fall to about 1.28x. EBITDA would need to fall by about 24.8% from A$6.35M to reach an ICR of 1.00x at the base interest cost.

8. Security and valuation

8.1 Security package

- First registered mortgage over 41 Darcy Road, Westmead.
- General security agreement over all present and after-acquired property of the Borrower.
- Assignment of rights under the management agreement and the hedging arrangements.
- Sponsor completion and income support deed, covering rectification of defects and support for income shortfalls on terms to be agreed.
- Subordination of all related party debt and management fees on a default.

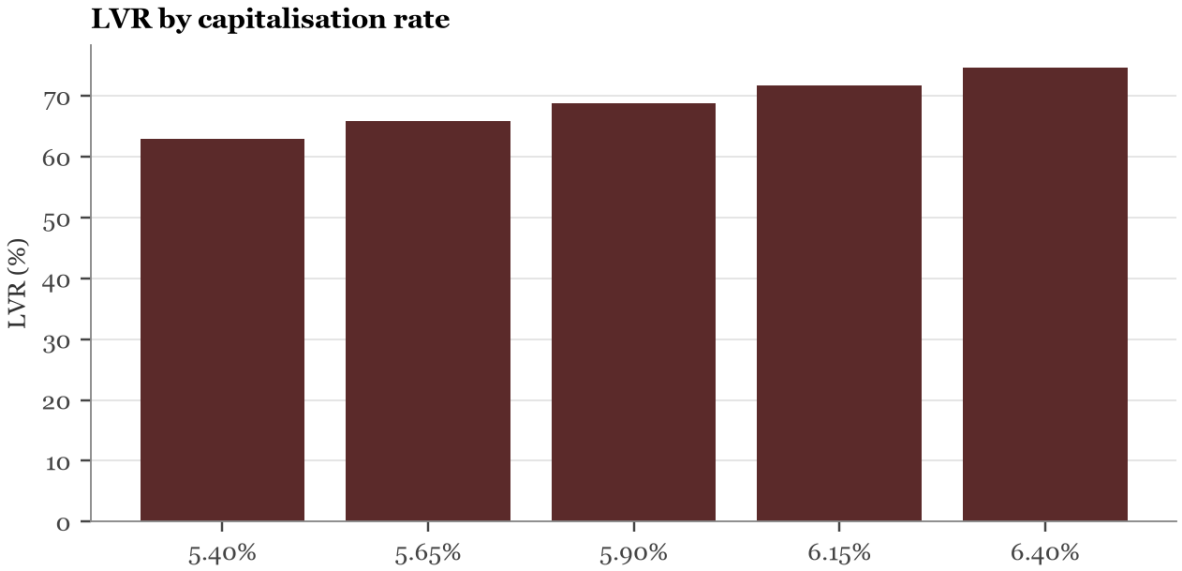
8.2 Valuation

Halvorsen Pryce Valuers Pty Ltd has indicated an as-stabilised value of A$117.5M, equal to a 5.40% capitalisation rate on EBITDA of A$6.35M. The value is A$16.0M above TDC of A$101.5M, a margin of 15.8% on cost. The formal valuation, addressed to lenders on a reliance basis, is expected on 22 August 2025. The facility amount remains subject to that valuation.

8.3 Valuation sensitivity

Cap rate	Value (A$M)	LVR
5.40%	117.5	63.0%
5.65%	112.4	65.8%
5.90%	107.6	68.8%
6.15%	103.3	71.7%
6.40%	99.2	74.6%

Value and LVR at a A$74.0M facility, holding EBITDA at A$6.35M



LVR at a A$74.0M facility as the capitalisation rate softens in 25 basis point steps

A 50 basis point softening to 5.90% would reduce value by about A$10M and lift LVR to about 69%. The sponsor's proposed LVR covenant of 70% would be reached at a value of about A$105.7M, a decline of 10.0% from the as-stabilised value.

9. Key risks and mitigants

Lenders should consider the following risks. The mitigants are those the sponsor proposes and are not a guarantee of outcomes.

Risk	Mitigant
Refinance and interest rate: ICR 1.33x, net debt 11.3x EBITDA	75% minimum hedging, ICR covenant, cash sweep on breach, 36 month tenor to allow refinance planning
Rental and occupancy: reliance on A$887 per week rents amid new supply	Above 95% occupancy since September 2024, diversified mix, no rental growth assumed, occupancy covenant
Valuation and exit: 50bp softening cuts value by about A$10M, LVR to 69%	63.0% opening LVR, LVR covenant, independent valuation, valuation on lender request after default
Single asset and precinct demand concentration	Large hospital and university employer base, transport links, sponsor reporting on tenant profile
Operator and sponsor dependence	Management agreement assigned to lenders, step-in rights, independent director oversight, replacement operator right
Defects and building compliance	QS report due 15 August 2025, builder's defects liability under the contract, sponsor support deed

Risk and mitigant summary

9.1 Refinance and interest rate risk

Net debt of A$71.9M is about 11.3x EBITDA and ICR of 1.33x leaves limited headroom to a rise in base rates beyond the hedged portion. The Borrower will hedge at least 75% of drawn debt and will report ICR quarterly. Interest is paid from operating cash flow, and the sponsor will discuss a cash reserve with lenders.

9.2 Rental and occupancy risk

Income depends on achieving average rents of about A$887 per week in a market where new build-to-rent supply is expected in Parramatta and Westmead over 2025 to 2027. Higher incentives or lower occupancy would reduce revenue directly. A reduction of 10% in EBITDA would reduce ICR to about 1.20x.

9.3 Valuation and exit risk

The as-stabilised value reflects a 5.40% capitalisation rate. Rising investor yields or lower net income would reduce value. Repayment at maturity relies on refinance or sale, and refinance proceeds will be sensitive to prevailing yields and credit appetite for residential investment assets.

9.4 Concentration, operator and defects risks

The asset is a single building, and income is exposed to demand from healthcare and university employees in the Westmead precinct. The Borrower relies on Elan Living Operations Pty Ltd for leasing, operating cost control and resident retention. Residual defects liability and statutory warranty matters remain under the NSW building reforms until the end of the defects period. The Brannigan Tait report will identify outstanding items and any estimated rectification cost.

10. Proposed financial covenants

Covenant	Proposed level	EBITDA or value headroom
Maximum LVR	70.0%	10.0% value decline
Minimum ICR	1.20x	9.8% EBITDA decline
Minimum debt yield	7.5%	12.6% EBITDA decline
Minimum occupancy	90.0%	5.3 percentage points
Minimum hedging	75% of drawn debt	Not applicable

Indicative covenant package, to be agreed with lenders

Headroom is measured against opening values of 63.0% LVR, 1.33x ICR, 8.6% debt yield and 95.3% occupancy. Covenants would be tested quarterly, with valuations at least annually. The sponsor is open to a cash sweep or equity cure if a covenant is breached.

11. Conditions precedent

- Credit approval and executed facility agreement and security documents.
- Satisfactory valuation from Halvorsen Pryce Valuers Pty Ltd on a reliance basis.
- Satisfactory quantity surveyor report from Brannigan Tait Quantity Surveyors Pty Ltd, including an assessment of outstanding defects.
- Audited financial statements and management accounts as set out in Section 12.
- Legal due diligence report, title searches, and confirmation of the occupation certificate and no outstanding notices.
- Evidence of insurance, including building and loss of rent cover, with the lender noted.
- Executed sponsor completion and income support deed and subordination deed.
- Executed assignment of the management agreement with operator acknowledgement.
- Hedging executed in accordance with the facility terms.
- Payoff letter for the existing A$72.4M facility and release of existing security.

12. Process and timetable

Date	Event
4 Aug 2025	Information memorandum issued
15 Aug 2025	Quantity surveyor report expected
22 Aug 2025	Valuation expected
12 Sep 2025	Audited financial statements expected
30 Sep 2025	Management accounts expected
17 Oct 2025	Target date for term sheet

Indicative timetable

Lenders are invited to submit non-binding indicative proposals to Lindqvist Capital Advisory Pty Ltd. Proposals should state the amount offered, margin, fees, hedging requirements, covenants, credit approval path and any conditions. Dates are indicative and may change at the sponsor's discretion.

13. Contacts

All enquiries should be directed to Lindqvist Capital Advisory Pty Ltd, as financial adviser, or to Thomas Gallagher, Chief Financial Officer, Elan Living, at Level 9, 33 Marsden Street, Parramatta NSW 2150. Lenders must not contact tenants, contractors or the operator directly without the sponsor's consent.

Disclaimer

No representation or warranty, express or implied, is given as to the accuracy or completeness of this memorandum. Forward looking statements, including those on rents, occupancy, valuation and supply, are estimates based on current assumptions and may differ from actual results. Elan Living Group Pty Ltd, the Borrower, their directors and advisers accept no liability for any loss arising from reliance on this document.